

The gender pension gap

Why women need to save more than men for retirement, and how you can help.

4 key takeaways

- The Gender Pension Gap is built on real statistics that show women have less money to put away for retirement and get excluded from pension plans due to the nature of the work they are overrepresented in.
- Breaks in their careers for caregiving can take years out of a woman's retirement savings.
- Because they have a longer life expectancy, women need more savings than men to cover their retirement years.
- Sponsors can help by highlighting the options available to members for retirement planning and encouraging them to take advantage of all the tools and resources available in their benefits package.

Saving for retirement can be stressful for some Canadians. In fact, over 52% of women surveyed say they lose sleep over financial stress¹. Women face extra financial stress because they generally accumulate less money for retirement compared to men. This discrepancy is known as the Gender Pension Gap (GPG).

According to an analysis published by Ontario's Pay Equity Office, women retired with 18% less retirement income than men in 2020². Where does this gap come from? Several factors contribute. These include longer life expectancy for women, lower, on-average earnings compared to men and the higher tendency for women to take breaks in their careers for maternity leaves or to take care of an aging relative.

Retiring well is about more than finances

Retiring well isn't just about potential financial shortfalls, it's also about having sound physical and mental health once a person leaves the workforce. Financial, physical and mental health need to be in harmony because a deficit in one of those aspects can impact the other two. Members have access to a range of solutions that can reduce financial stress and help their bodies stay healthy into their golden years.

Let's take a closer look at the GPG, explore options to help close this gap, and learn about resources that can help your members retire well.

Where the savings don't add up

Basic math explains some of the reasons behind the GPG. A retirement savings plan works best with regular contributions over a number of years. Compound interest does not discriminate! But this can be where many of the hurdles start for women.

Compound interest

Money put into a savings plan earns interest over time. With compound interest, you're potentially earning interest on interest. You could earn interest on the money you put in at the start, as well as the money you add later, plus on all the interest that collects over time.

¹ FP Canada, "Financial Stress Index 2023", 2023-06-15, <https://www.fpcanada.ca/planners/2023-financial-stress-index>

² Pay Equity Office Ontario, "Canada's Gender Wage Gap has narrowed but the Gender Pension Gap has not", 2023-06-19, <https://payequity.gov.on.ca/ontarios-pay-equity-office-launches-new-legal-resource-2/>

Fewer pensionable hours and limited opportunities to participate in a savings plan

Consider that a larger proportion of women work part-time hours compared to men. Part-time employment often means lower wages, which translates to lower pension entitlements in plans tied to earnings. In some cases, part-time or contract work entirely excludes a person from participating in a pension plan³. Then there's the gender wage gap – where women earn less on average than men. Statistics show it's on the decline, but it's another reason why women will put away less money over their careers. In simple terms, women have less money to put away and may not even be eligible to put it into a savings plan like their full-time co-workers.

Costly career breaks

Women are more likely to take breaks in their careers. Often this is to devote time to another full-time job: taking care of a loved one. While the government of Canada offers financial support through employment insurance benefits for a person to go on maternity or caregiver leave, it's no more than 55% of their earnings. That coverage maxes out at \$650 a week. It's not hard to imagine anyone taking a pause on their retirement savings in that situation, and women may do this multiple times over their careers. Those breaks add up. On average, a woman's career is 33% shorter than a man's due to breaks after childbirth or to take on caregiving responsibilities. Sadly, the costs can result in losing compound interest over time and falling behind in savings.

Relationship breakdowns disproportionately hurt women financially

Divorces are an emotional and financial burden on anyone but they tend to cost women much more. Marriage breakdowns are particularly costly when they happen later in life, after age 50. Researchers found the standard of living for women who divorce after 50 drops an average of 45%; for men, it's 21%⁴. This is due to women counting on their spouse's savings to make up for when they pivoted their careers and paused their savings.

The price of longevity

The average life expectancy for a Canadian man is 79 years, but for a woman it's 84 years⁵. When planning for retirement, women may have to consider the need for their savings to last longer than their spouse's. Unfortunately, life doesn't get cheaper with age. New or more complex health concerns that come with age can mean a woman needs additional therapies or medications to maintain her quality of life. This is another reason why taking care of one's physical health can help their financial wellness later.

Keep in mind that adult women, on average, already pay more than men for haircuts, razors and basic clothing items⁶, and those costs don't go away in retirement. Couples typically share their wealth and can take advantage of tax rules that apply to married or common-law partnerships. But what is the impact on the household income when a woman becomes a widow? Does she have enough savings to be comfortable for the rest of her life?

³ OECD, "Assessing the gender gap in retirement savings arrangements", OECDiLibrary, 2021-03-10, https://www.oecd-ilibrary.org/finance-and-investment/towards-improved-retirement-savings-outcomes-for-women_f7b48808-en

⁴ Spangler, Ashley, Brown, Susan L., Lin, I-Fen, Hammersmith, Anna & Wright, Matthew, "Divorce timing and economic well-being", National Center for Family & Marriage Research (NCFMR), Bowling Green State University, 2016, <https://www.bgsu.edu/ncfmr/resources/data/family-profiles/spangler-brown-lin-hammersmith-wright-divorce-economic-fp-16-01.html>

⁵ Statistics Canada, "Table 13-10-0837-01", Statistics Canada, 2023-08-28, [Life expectancy and other elements of the complete life table, single-year estimates, Canada, all provinces except Prince Edward Island](https://www150.statcan.gc.ca/n1/pub/92-62-001-x/2023001/article/00001-eng.htm).

⁶ Feingold, Spencer, "What is the 'pink tax' and how does it hinder women?", World Economic Forum, 07-14-2022, <https://www.weforum.org/agenda/2022/07/what-is-the-pink-tax-and-how-does-it-hinder-women/>

How you can support your members

It's up to each member to educate herself on what she'll need to retire well. You can't make a member put away money or put away *more* money, but you can help make it easier for her to reach her retirement goals. This starts with helping your members continue to save at every life stage. **Help your members make informed choices for their goals**

Be clear about the options members have for continuing or pausing their benefits and savings contributions. Members can make changes to their savings and investments on the My Canada Life at Work™ website whenever and however it suits them. It's also important to be upfront about whether a leave will impact their eligibility for bonuses and merit increases. If you offer a top-up for maternity leaves, offer good guidance about the application process and how it's administered. Here are some questions you'll want to have answers to:

- Does she apply before she goes on her leave or after her last day of work?
- Is the top-up a percentage of her base salary?
- Is there a cap on the top-up?
- Is the amount a lump sum or a payment spread out over time?

With all the information, a member can be confident about her budget and may find she can continue saving.

Encourage members to make use of available savings products and resources

Savings plans and tools beyond the ones with Retirement in the title are an important part of well-being in all stages of life. Total benefits package may offer perks or savings your members can take advantage of so they can invest money they would have spent out-of-pocket on paramedicals or purchases that qualify for reimbursement through a wellness account. There are also numerous free resources available that can help a member with financial planning.

Solutions and resources that may be available to your member through their group benefits and savings plan

Savings solutions	Resources
KOHO spending account A spending account for members that comes with the perks of a credit card, without any of the risk.	Credit Counselling Society* A free resource to help members achieve financial wellness through debt repayment and settlement programs, financial planning and credit and money-management education.
Freedom Financial™ registered education savings plan (RESP) for plan members An education savings plan with the benefit of group fees that are generally lower than the individual market	Workplaces Strategies for Mental Health* An online centre that allows employers to take steps towards building a psychologically healthy and safe workplace. This free resource can help a struggling member and their employer work together on an accommodation that helps the member bring their best selves to the job.
Student debt savings program Helps members save for their future while they focus on their more immediate financial need of repaying debt. As they repay student loan debt, their sponsor contributes to their group retirement and savings plan.	Wealthgoal A financial wellness website that provides holistic financial planning resources to meet members' needs, no matter their background, level of education or stage of life.
Canada Life retirement funds Specifically designed to address pre-retirees' and retirees' concerns like inflation and market volatility. The funds allow members to protect and grow their savings.	Estate at Ease A service that can quickly and accurately prepare forms and documents, making the process easier for executors and estate administrators. Members get a full year of Estate at Ease documentation and identity theft protection service for a preferred flat rate.

*These resources have no cost for members.